

Home Comfort - Two-Page Operating Benchmark

Reliance Home Comfort and Enercare | Source report dated July 18, 2026

SUBVERTICAL THESIS

Installed residential equipment and protection plans convert essential household needs into recurring monthly billing. Pricing, premium-equipment mix and cross-sell support growth, while equipment exchange and reinstallation remain the central sustaining-capital burden.

METRIC	ESTIMATE	RATIONALE / EVIDENCE
Revenue growth	5%	Rationale. Mature installed bases grow mainly through price, HVAC and premium-unit mix, cross-sell, modest net units, and occasional M&A; acquisitions are not organic growth. Support / caveat. Enercare revenue rose 6% in 9M 2018 while units rose only 0.6% and monthly rent increased from C\$24.35 to C\$25.50. CONFIDENCE: MEDIUM
EBITDA margin	53%	Rationale. Monthly revenue on installed, low-touch water heaters creates high recurring gross margin; technicians, dispatch, support, and transactional services dilute it. Support / caveat. Enercare disclosed C\$201.4 million EBITDA on C\$359.8 million 9M 2018 revenue, about 56%, with contracted revenue near 92%. CONFIDENCE: MIXED BY ARCHETYPE
Maintenance capex / revenue	12%	Rationale. Providers replace owned end-of-life units, including removal and reinstallation, to preserve billable addresses. Water heaters and plans lower intensity; HVAC raises it. Support / caveat. Enercare exchanged 33.6 thousand assets in 9M 2018, 2.9% of opening units, and found used heaters uneconomic to redeploy. CONFIDENCE: MIXED BY ARCHETYPE
Post-maintenance capex conversion	78%	Rationale. Recurring billing creates strong EBITDA, but exchanges prevent software-like conversion. This measure excludes interest, taxes, working capital, lease principal, and growth capex. Support / caveat. The 78% center follows 53% EBITDA margin and 12% maintenance capex. CONFIDENCE: MIXED BY ARCHETYPE
Initial contract tenor	7-10 yrs	Rationale. Newer rentals use minimum-term, buyout, or useful-life structures to recover capital; legacy Ontario water-heater cohorts can be cancellable or non-term. Support / caveat. Reliance cites 7-10-year minimums, 10 years then monthly, and separate non-term and 84-month forms. CONFIDENCE: MIXED BY ARCHETYPE
Effective customer tenure	18 yrs	Rationale. Address-level continuity, residential inertia, home-sale transfer, and convenient replacement can carry revenue beyond both legal term and the first asset. Support / caveat. Enercare rental attrition was 1.9% over 9M 2018; Reliance continues monthly after initial terms. CONFIDENCE: MEDIUM
Utilization exposure	Low-Moderate	Rationale. Asset utilization is largely binary: installed on a paying account or not. Household usage intensity does not normally change fixed rent. Support / caveat. Company reporting emphasizes units, contracts, attrition, exchanges, service response, and installed accounts rather than consumption or runtime. CONFIDENCE: HIGH
New-unit or customer payback	8 yrs	Rationale. Fully burdened payback includes equipment, installation, acquisition, service, repair, and replacement reserve. Basic heaters repay slower; HVAC and premium units repay faster. Support / caveat. Reliance showed C\$1,000-C\$5,500 installed cost and C\$20-C\$100+ monthly rent. CONFIDENCE: MIXED BY ARCHETYPE
B2B vs B2C	Predominantly B2C	Rationale. Households are the economic center, although builders, property managers, and small commercial channels may originate or intermediate accounts. Support / caveat. Enercare disclosed that about 95% of its rental portfolio consisted of residential water heaters. CONFIDENCE: HIGH

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HOW TO READ THE UNIVERSE

Both businesses monetize installed residential equipment and essential service continuity. The evidence bridge focuses on recurring rental and protection-pl economics, not one-time HVAC sales or service work.

Reliance Home Comfort	Enercare
WHAT IT DOES Reliance Comfort Limited Partnership serves more than 2 million customers, mainly in Ontario with reported western Canadian, Georgia, and Florida operations. It rents and sells water heat and HVAC and offers water purification, plumbing, electrical, smart-home, and protection plans solves urgent hot-water, heating, and cooling needs without upfront purchase or surprise repair risk. The benchmark isolates rentals and plans from one-time work. ECONOMIC MODEL The core unit is an installed asset at a residential address; plans and one-time jobs are separate units. Reliance funds equipment and installation, retains ownership, bills monthly, provides repair and replacement, and operates technicians, dispatch, and call centers. Essentiality, installation budget smoothing, transfers, and replacement convenience support retention; moves, buyouts, switching, poor service, repricing, purchase, and technology migration drive churn. Used hardware has limited redeployment value, so the address relationship is the key residual asset. SUPPORTING EVIDENCE Acquired in 2017 at about C\$4.6 billion enterprise value, Reliance grew from 1.8 million customers to 2.1 million by end-2023 and made two U.S. acquisitions in 2025. Terms show 7-10-year minimums, 14-16-year heater lives, included installation, repair and replacement, and C\$20-C\$100+ monthly rent. Current standalone financial, churn, and growth bridges are unavailable, making several company metrics low-confidence.	WHAT IT DOES Enercare is an Ontario-centric platform serving about 1.1 million customers. The relevant business is Home Services, excluding former Service Experts and submetering. It rents water heaters, HVAC, and water-treatment equipment, sells plans, and performs equipment sales and service, offering predictable cost and outsourced continuity for essential systems. Brookfield acquired it in 2018; the clean segment base is 2017 and 9M 2018. ECONOMIC MODEL The core unit is an installed rental unit, about 95% residential water heaters historically; plans and one-time HVAC jobs are separate. Rentals were 73% of 2017 revenue and plans 20%. Heaters require little scheduled maintenance; HVAC and plans use more field labor. Ownership, installation, response, and buyout or useful-life terms support retention; moves, buyouts, switching, repricing, and poor service cause churn. Equipment is replaced rather than redeployed, making exchanges sustaining capital and allowing relationships to continue through replacement. SUPPORTING EVIDENCE In 9M 2018, contracted revenue was C\$332.0 million of C\$359.8 million total, EBITDA margin was 56%, units grew 0.6%, and 33.6 thousand assets were exchanged. Rental attrition was 1.9% versus 9.3% for plans. HVAC rentals generated three to five times heater revenue. Current post-privatization segment data are unavailable.

KEY DILIGENCE QUESTIONS

1. Separate recurring rentals and plans from one-time sales, service, and acquisition-led growth. | 2. Obtain current product mix, gross additions, attrition, exchange volume, and direct service cost by cohort. | 3. Test how much installation spending labeled as growth merely replaces churn and is economically sustaining.